

sionals, businessmen today are once again expanding inventory, buying capital goods, securing long term contracts for lumber, copper and other commodities, and acquiring new businesses. Average investors are putting record amounts of money into stocks and bonds. Everyday people are borrowing to purchase consumer goods. Is it not more prudent to use the current euphoria and "good news" to *sell off* unwanted businesses, *unload* inventory, *sell* futures contracts for commodities, *get out* of stocks and bonds, *pare back* consumer debt, and otherwise prepare for a slowing of economic activity?

Throughout the tidal wave crash, the average citizen will be caught up in events, playing his part without comprehending what is happening because he has been counseled by a legion of optimists, who at this juncture are the true bearers of "gloom and doom." Heeding them will have set him up to be destroyed financially, emotionally and perhaps even physically. At the next major bottom, we will see who has fared best, those who say that a warning is dangerous or the few of us who think that incaution is dangerous.

Remember also that humanity has survived countless crises. As bad as things will get, we are not talking about Armageddon or Doomsday. Expectations for a long period of worldwide depression, economic chaos and ultimately social unrest do not indicate, as some might infer, that one should prepare for a return to the conditions of the Dark Ages. Periods of stagnation or regress are relative, and not only is the one we face at least one degree smaller than the one that produced the Dark Ages, but it is beginning from a much higher base. In other words, bad times are relative. No one will be living in a cave. For the most part, modern life will be maintained; only certain areas of the world will suffer the worst, and if history is any guide, those areas will be rebuilt afterward very quickly. Even if economic conditions deteriorate to the level of the 1930s, most people will get along acceptably well day-to-day. More to the point, *you* can remain perfectly comfortable by taking the right steps along the way. The only people who will be wiped out by the crash are those who participate in it. If you sell your stocks and bonds near the top and buy safe cash equivalents, your net worth will continue to increase despite the general decline in prosperity. There were a lot of prosperous people in the Great Depression, but the majority of them had successfully avoided being victims of the 1929-1932 crash. With the foreknowledge provided by this book, you will be able to avoid an even bigger one.